



TREASURY MANAGEMENT

TM-SWP-2026.04 · Effective April 25, 2026

PRODUCT BROCHURE · TREASURY MANAGEMENT

Sweep Account Services

Automated target-balance sweep from operating accounts into overnight investment options — overnight repo, institutional money-market funds, and commercial paper ladders — delivering short-duration yield on idle cash.

MINIMUM RELATIONSHIP	\$1,000,000 aggregate deposit relationship
SWEEP STRUCTURES	Target balance · peg balance · zero balance (see ZBA)
INVESTMENT OPTIONS	Overnight repo (4.25%) · MMF (4.35%) · CP ladder (4.50%)
SWEEP FREQUENCY	End-of-day + optional mid-day
REPORTING	Daily sweep statement + camt.053 / BAI2 export
PRICING	\$150 / month + basis points on invested amount
FDIC TREATMENT	Repo secured by Treasuries (not FDIC-insured)
DISCLOSURE	MMF: Not FDIC-insured, may lose value



AT A GLANCE

Overview

Sweep Account Services automatically transfer excess operating cash — the amount above a client-specified target balance — into overnight investment vehicles at the close of each business day, and return those funds to the operating account before the start of the next business day. The goal is to eliminate 'idle' cash in non-interest-bearing demand deposits while preserving full liquidity and operational availability. Cumulus offers three sweep-investment options of progressively higher yield and duration: overnight repurchase agreements collateralized by U.S. Treasuries (Cumulus-internal, secured); Cumulus Institutional Money Market Fund shares (third-party registered fund); and commercial paper ladders (tenor 1–270 days, constructed by Cumulus Capital Markets).

WHY SWEEP

Key benefits

YIELD ON IDLE OPERATING CASH Yield on idle operating cash Convert non-interest-bearing DDA balances into overnight investments yielding 4.00% – 4.50% at current rates.	FULL OPERATIONAL LIQUIDITY Full operational liquidity Swept funds return to operating accounts before the start of each business day — full availability for the day's payments.
TARGET-BALANCE FLEXIBILITY Target-balance flexibility Client sets the target balance based on operating-cash needs; sweep operates above the target only.	THREE INVESTMENT OPTIONS Three investment options Overnight repo (most conservative), Institutional MMF (broader diversification), or CP ladder (slightly longer duration) — choose the option matching your risk posture.
INTEGRATED REPORTING Integrated reporting Daily sweep statement shows balance movement, yield earned, and reconciliation to operating account; available in camt.053 / BAI2 for ERP import.	NO FDIC DEPOSIT-CAP EXPOSURE No FDIC deposit-cap exposure Repo sweep is a secured obligation of Cumulus collateralized by Treasuries; balances above \$250,000 are not subject to FDIC uninsured exposure while invested overnight.



THREE STRUCTURES

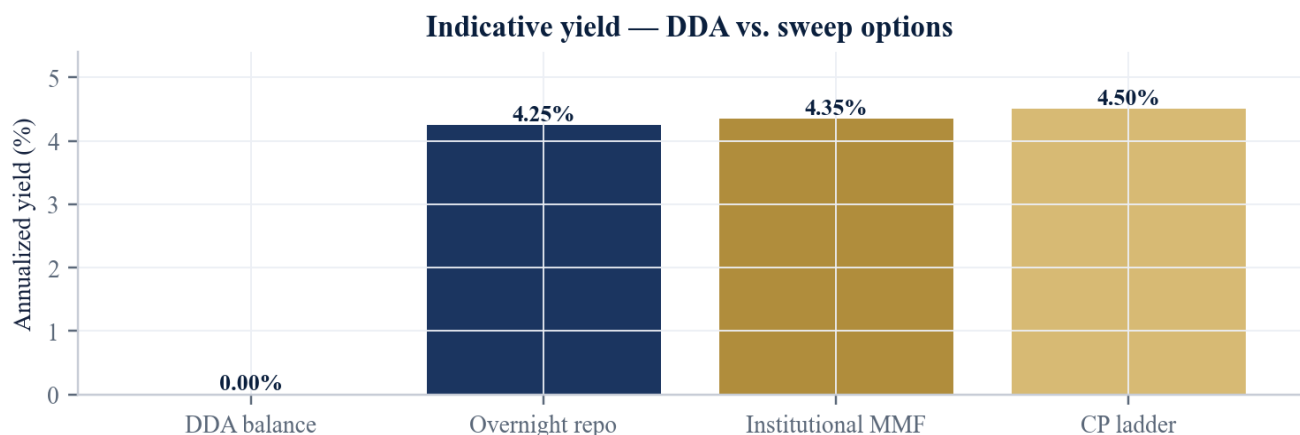
Investment options

OPTION	STRUCTURE	INDICATIVE YIELD	RISK / PROTECTION
Overnight Repurchase (Repo)	Cumulus repo against U.S. Treasury / Agency collateral at 102% margin; collateral held at BNY Mellon as custodian	4.25%	Secured by Treasuries; 102% collateralization; daily mark-to-market
Cumulus Institutional Money-Market Fund	Shares in a government or prime institutional MMF managed by an unaffiliated registered investment adviser; 2a-7 compliant	4.35%	Not FDIC-insured; 2a-7 daily / weekly liquidity minima; may be subject to liquidity fees or redemption gates
Commercial Paper Ladder	Short-tenor commercial paper constructed by Cumulus Capital Markets; typically 1-30 day weighted average, A-1 / P-1 rated issuers only	4.50%	Not FDIC-insured; issuer credit risk; Cumulus credit screening and diversification policy

OPTION ECONOMICS

Yield comparison

The chart below compares indicative overnight yields across Cumulus sweep options. Higher yields come with increased credit exposure (repo is secured; MMF is diversified; CP is direct issuer exposure, mitigated by rating requirements and Cumulus's credit-surveillance program).



DAILY CYCLE

Sweep mechanics

TIME (ET)	ACTIVITY
5:30 p.m.	End-of-day balance determined on operating account(s) included in the sweep.
5:35 p.m.	Amounts above target balance aggregated across linked operating accounts.
5:40 p.m.	Aggregate investable amount transferred to selected investment option (repo, MMF, or CP ladder).
5:45 p.m.	Sweep statement generated and delivered to Business Online / ERP. Interest accrual begins on invested balance.
Overnight	Invested balance earns at the option's daily rate; repo priced at close, MMF NAV-stable, CP accruing interest.
8:00 a.m. next business day	Invested balance plus accrued interest swept back to operating account(s) in proportion to previous evening's contribution.
8:15 a.m.	Operating accounts available at full balance for the day's payments.
Month-end	Monthly sweep-earnings statement with taxable-income reporting for year-end Form 1099-INT (repo) or 1099-DIV (MMF) preparation.

SERVICE FEES

Pricing

COMPONENT	AMOUNT	NOTES
Monthly platform fee	\$150 / month	Per linked sweep group
Investment management fee — Repo	10 bps (0.10%) per annum on invested balance	Netted from yield
Investment management fee — MMF	Fund's management fee (~20 bps) + Cumulus shareholder servicing (15 bps)	Disclosed in fund prospectus
Investment management fee — CP ladder	15 bps per annum	Cumulus Capital Markets servicing
Setup / implementation	\$1,500 one-time	ISDA (for CP), custody agreements, documentation
Minimum relationship	\$1,000,000 aggregate	Deposit-plus-investment across Cumulus
Reporting add-ons	\$50 / month per additional format	Custom ERP connector or enhanced analytics

HOW IT WORKS

Setup and onboarding

STEP	ACTIVITY	TIMING
1 · Cash-flow analysis	Treasury Specialist reviews operating-account cash-flow patterns, volatility, minimum-balance needs.	Days 1–7
2 · Option selection	Client selects target balance, sweep frequency, and primary investment option. Secondary option configurable (e.g., repo with MMF overflow).	Days 7–10
3 · Documentation	Execute Sweep Service Schedule, Master Repurchase Agreement (for repo), ISDA (for CP), and any MMF subscription forms.	Days 10–17
4 · Custody setup	Establish or confirm custody arrangements with BNY Mellon (repo) or the MMF transfer agent.	Days 14–21
5 · Configuration	Cumulus configures sweep operating-account links, target balance, and cutoffs in Treasury system.	Days 17–21
6 · First sweep	Test sweep cycle; full production after 3-day observation.	Day 21+

COMMON QUESTIONS

Frequently asked questions

What's the difference between sweep and money-market deposit?

A Cumulus Business Money Market is a deposit account — FDIC-insured up to \$250,000. Sweep invests above-target cash in overnight investment products (repo, MMF, CP). Sweep typically offers higher yield on larger balances but does not carry FDIC insurance on the invested portion (repo is secured by Treasuries; MMF is SEC-registered but not deposit-insured).

What happens if there's a liquidity issue with MMF?

SEC Rule 2a-7 imposes 10% daily-liquid-asset and 30% weekly-liquid-asset minima on money-market funds. If a fund falls below these thresholds, it may impose a liquidity fee (up to 2%) or a redemption gate (up to 10 business days). These events are rare but possible; they do not affect the repo or CP options.

Is the repo sweep safer than MMF?

The repo sweep is secured by U.S. Treasury and Agency collateral marked daily at 102%, held in segregated custody at BNY Mellon. Credit exposure is against Cumulus Bank as counterparty — mitigated by the secured collateralization. MMF is diversified across many issuers but is subject to 2a-7 market-risk exposure. Different risk structures; 'safer' depends on the risk being mitigated.

What yield differential justifies the platform fee?

At a 4.25% yield on \$5M invested overnight balance, the sweep earns approximately \$18,000 per month — net of the \$150 platform fee and 10bp management fee (\$42/month), net earnings are approximately \$17,800. Under this example, sweep pays for itself with less than \$100,000 invested balance.



How does sweep interact with ZBA?

ZBA (Zero Balance Accounts) and sweep are complementary. ZBA funnels cash to a master account daily; sweep then invests above-target balance in the master account. Clients with complex treasury structures commonly use both: ZBA at the operational layer; sweep at the master-account layer.

Is there a tax reporting difference by option?

Yes. Repo earnings are reported as interest on IRS Form 1099-INT. MMF distributions are reported on Form 1099-DIV. Commercial paper income is typically accrual-interest on 1099-INT. Your tax advisor should be consulted on state tax treatment, particularly for repo against Agency collateral which may have favorable state-tax characteristics.

DISCLOSURES & REGULATORY NOTICES

Important disclosures

§ Sweep Account Services are provided by Cumulus Bank, N.A. under the Treasury Services Master Agreement and applicable Sweep Service Schedule. Investment options within sweep are offered through Cumulus Capital Markets LLC or third-party providers, and are governed by the disclosure documents accompanying each investment option.

§ Investment products within sweep (money-market mutual funds, commercial paper) are NOT FDIC INSURED · NOT BANK GUARANTEED · MAY LOSE VALUE · NOT A DEPOSIT · NOT INSURED BY ANY FEDERAL GOVERNMENT AGENCY. Overnight-repurchase sweep is a secured obligation of Cumulus Bank (not FDIC-insured) collateralized by U.S. government securities held in segregated custody.

§ Yields on sweep-investment options are illustrative and will vary with market conditions. Historical yields are not a guarantee of future returns. The current yield on each option is disclosed on the daily sweep statement and in the Cumulus Business Online portal.

§ The money-market mutual fund prospectus (including investment objectives, risks, charges, and expenses) should be read carefully before investing. Prospectus and current shareholder reports are available through Cumulus Capital Markets.

ENGAGE A SPECIALIST

Connect with a Cumulus commercial banker

A Commercial Relationship Manager will assess your business's banking, credit, and treasury needs, coordinate supporting specialists, and return a term sheet or proposal on an expedited timeline. Existing Cumulus clients should contact their dedicated Relationship Manager directly.

COMMERCIAL DESK

954.417.2880

Client Services, Mon–Fri 7:00 a.m. – 9:00 p.m. ET · Sat 8:00 a.m. – 5:00 p.m. ET

CLIENT PORTAL

cumulusbank-demo-bb054209d76d.herokuapp.com

Apply online, review rates, or schedule an appointment.

TREASURY SERVICES

Commercial banking centers are staffed by appointment. Request a consultation at cumulusbank-demo-bb054209d76d.herokuapp.com/commercial.

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